1. The country had grown prosperous in the preceding decade, creating investable funds. Holland was the richest country in Europe in 1635.

2. The fundamentals behind the speculation held a kernel of real value and growth potential. Tulips were an exotic and valuable flower in Europe in the early seventeenth century. Bulbs were in demand, especially for new and flamboyant varieties.

3. The market rose at a moderate rate for many years, creating good profits for the professionals, including Dutch tulip farmers. After a while, the public entered the market and the rate of price gains rapidly increased.

4. The upswing took many months to build. As prices continued to climb, enthusiasm increased, and speculative prices soon lost contact with the real world. At the end of 1636, a pound of tulip bulbs sold for a year's income for a middle-class family.

5. The collapse was very abrupt, wiping out the entire bull phase in a couple of days.

6. The government intervened after the crash to try to sort things out. In Holland, all of the trades of the four precrash months were canceled. Only a nominal payment by the buyer to the seller was required by the courts.

The seventeenth century didn't see the last speculation in flowers. In 1984, I invested in Melridge, a grower of lily bulbs, at about $10 a share. Two years later, I sold, having doubled my money. The stock kept climbing, reaching 39 that year. In 1987, it was revealed that Melridge had made a series of fraudulent transactions with its Dutch subsidiary, and it filed for bankruptcy. The stock was soon worthless.